# Catena Media (: CTM.ST)

Q3 2026 Earnings — Analyst Brief · Released 16 Oct 2026 (preliminary, unaudited; released 17:40 CEST after the close). Full Q3 interim report due 10 Nov 2026, 17:35 CET · Currency EUR (tables in EUR millions; ~USD in parentheses at an assumed EUR/USD 1.17 — see confidence note)

CONFIDENTIAL · INTERNAL

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**Shares fell ~21.5% to SEK 2.50 (~$0.26) intraday on Monday 19 Oct 2026, the first session after the Friday 17:40 CEST release (Gaming Intelligence); SBC News quoted SEK 2.55, ~-20%, at time of writing. The 16 Oct pre-release buyback VWAP was SEK 3.17 (~$0.33), and the stock closed Q2 at SEK 2.64 on 30 June.**

### THE ONE-LINE VERDICT

A profit warning dressed as a strategy update: preliminary Q3 revenue of EUR 8.3m (~$9.7m) fell 29% YoY and adjusted EBITDA of EUR 0.7m (~$0.8m) was entirely a bonus-accrual reversal — underlying EBITDA was roughly zero. The 2026 double-digit growth target is withdrawn, a EUR 30–35m (~$35–41m) impairment wipes out a third-plus of the intangible base one quarter after management said no impairment indicators existed, and the equity is now effectively an option on an unlaunched platform (TraffiqX, Q1 2027) funded by ~EUR 13m of cash sitting beneath a EUR 50m+ hybrid claim accruing at STIBOR+12%.

| REVENUE (Q3-26, PRELIM) | ADJ. EBITDA (Q3-26, PRELIM) | ADJ. EBITDA MARGIN | 9M-26 REVENUE / ADJ. EBITDA | IMPAIRMENT OF INTANGIBLES (NON-CASH, Q3) | CASH / INTEREST-BEARING DEBT (30 JUN) |
|---|---|---|---|---|---|
| **EUR 8.3m (~$9.7m)** | **EUR 0.7m (~$0.8m)** | **~8%** | **EUR 30.1m (~$35.2m) / EUR 4.6m (~$5.4m)** | **EUR 30–35m (~$35–41m)** | **EUR 13.0m (~$15.2m) / nil** |
| -29% YoY / -12% QoQ | -76% YoY; ~EUR 0 ex EUR 0.7m bonus-accrual reversal | -1,680bps YoY / -460bps QoQ | -3% / -12% YoY | 33–39% of EUR 90.1m carrying value at 30 Jun | Q3 balance n/a until 10 Nov; hybrid claim EUR 50.7m (~$59.3m) sits in equity |

## 1 EXECUTIVE SUMMARY

- **Headline miss, pre-announced:** Preliminary, unaudited Q3-26 revenue EUR 8.3m (~$9.7m) vs EUR 11.6m (~$13.6m) in Q3-25, -29% YoY and -12% QoQ from EUR 9.5m (~$11.1m). Adjusted EBITDA EUR 0.7m (~$0.8m) vs EUR 2.9m (~$3.4m), -76% YoY / -43% QoQ; margin ~8% vs 25% a year ago (-1,680bps) and 13% in Q2 (-460bps).
- **The EUR 0.7m is not operating profit:** it includes a EUR 0.7m (~$0.8m) reversal of accruals booked earlier in 2026 for the employee bonus programme. Strip that out and underlying adjusted EBITDA was approximately break-even — the first zero-profit quarter since the Q2-25 restructuring. Management leads with the headline, not the underlying.
- **2026 financial target #1 withdrawn:** the group 'no longer expects' double-digit organic growth in revenue and adjusted EBITDA for 2026. The arithmetic was already impossible: hitting +10% on FY25 revenue of EUR 46.6m (~$54.5m) required Q4 revenue of ~EUR 21.2m (~$24.8m) vs EUR 15.6m (~$18.2m) in Q4-25 (+36%); for adj. EBITDA, +10% on EUR 9.9m (~$11.6m) required ~EUR 6.3m (~$7.4m) in Q4 vs EUR 4.7m (~$5.5m) last year. No replacement guidance was offered. Target #2 (net interest-bearing debt/adj. EBITDA 0–1.75x) is trivially met because there is no interest-bearing debt.
- **Which division drove it — Casino, by arithmetic necessity:** the release gives no segment split, but the YoY revenue decline of EUR 3.3m (~$3.9m) exceeds the entire Q3-25 Sports segment (EUR 1.8m, ~$2.1m). Casino was 90% of Q2 revenue and North America 97%; the damage therefore sits in the North American organic-search casino brands (PlayUSA et al.) and, we suspect, in operator CPA budgets flowing through MRKTPLAYS. Confirmation only on 10 Nov.
- **Stated causes are structural, not seasonal:** generative search reducing new traffic across the affiliate industry; Catena's own traditional rankings falling due to AI-assisted personalised search and search engines elevating lower-relevancy content; and certain operators cutting marketing budgets through the summer. Management's own framing: as a predominantly CPA business, the effects hit 'immediately and in full'.
- **No buffer — >90% CPA:** more than 90% of new customers are acquired on cost-per-acquisition deals (Q2-26 revenue mix: CPA 88%, revenue share 6%, fixed 6%; Q3-25: 91%/7%/2%). Revenue-share annuities, which cushioned peers through prior Google updates, have been run down to a rounding error.
- **9M-26 now below last year:** revenue EUR 30.1m (~$35.2m) vs EUR 31.0m (~$36.3m), -3%; adj. EBITDA EUR 4.6m (~$5.4m) vs EUR 5.2m (~$6.1m), -12%; margin 15% vs 17% (-160bps). The strong Q1-26 (EUR 12.3m / ~$14.4m, 22% margin) is the only reason the YTD line is not materially negative.
- **EUR 30–35m (~$35–41m) non-cash impairment (IAS 36)** on intangibles — 33–39% of the EUR 90.1m (~$105.5m) carried at 30 June, of which EUR 87.9m (~$102.8m) was domains and websites. This is the third consecutive Q3 impairment (EUR 40.0m/~$46.8m in Q3-24; EUR 16.5m/~$19.3m in Q3-25), taking cumulative write-downs to ~EUR 87–92m over three years. The Q2-26 report, published 11 Aug, stated 'no impairment indicators arose during Q2 2026' and that H1 results were consistent with the 2025 annual impairment assumptions.
- **Reported net loss will be large:** with D&A of ~EUR 0.9m/quarter, near-zero EBITDA and the impairment, we estimate a Q3 net loss of EUR 29–35m (~$34–41m), or roughly -EUR 0.38 to -0.47 (~-$0.44 to -0.55) per share on 75.65m weighted shares [our estimate — tax treatment of the impairment is the swing]. Q3-25 comparator: net loss EUR 14.4m (~$16.8m), EPS -EUR 0.19 (~-$0.22). Equity ex-hybrid of EUR 75.5m (~$88.3m) at 30 June would fall to ~EUR 40–45m (~$47–53m).
- **Versus expectations:** there is no meaningful sell-side consensus for CTM; the benchmark was the company's own target, which it has now abandoned. The fact that the board chose a MAR-driven pre-announcement three weeks ahead of the report tells you how far the quarter sat from internal plan.
- **Strategy: the pivot gets a name and a date.** TraffiqX — the automated marketplace platform connecting publishers and advertisers across verticals, built on MRKTPLAYS (which already contributes >1/3 of group revenue) — is now slated for launch in Q1 2027 (Q2 report said 'first half of next year' after final testing in late 2026). Other diversification: prediction markets (PlayPicks, in beta since Q2), the PlayPerks loyalty

programme on PlayUSA.com, and the Alberta online casino/sports launch (13 Jul 2026). PlayCanada.com was divested to a strategic partner.

- **Cost base is not yet responding:** Q2-26 total cost base EUR 8.2m (~$9.6m) (direct EUR 3.0m, personnel EUR 3.6m, other EUR 1.6m), flat YoY. Implied Q3 adjusted opex is ~EUR 7.6m (~$8.9m) including the EUR 0.7m reversal — i.e. ~EUR 8.3m (~$9.7m) underlying, on EUR 3.3m less revenue. Headcount rose to 164 at 30 June from 151 at 30 Sep 2025 as squads were staffed for the platform build. No new cost programme was announced; the last one (Q2-25) cut ~25% of headcount.
- **Capital position — net cash, but not for long if this persists:** cash EUR 13.0m (~$15.2m) at 30 June, no bonds (EUR 21.5m repaid in 2025), equity-to-assets 0.97. Q2 operating cash flow was just EUR 0.03m (~$0.04m) (H1: EUR 4.4m/~$5.1m) after EUR 1.5m tax paid; capex 'more than doubled' (H1 intangible additions EUR 1.0m/~$1.2m). Q3 cash is not disclosed in the preliminary release; we pencil ~EUR 11.5–13m (~$13.5–15.2m).
- **The hybrid is the real leverage:** CATME H01 — nominal EUR 43.7m (~$51.1m) plus deferred interest of EUR 7.0m (~$8.2m) at 10 Jul 2026 — is IFRS equity but ranks ahead of shareholders up to nominal plus accrued coupon. Coupons have been deferred since May 2025; the margin stepped to 3M STIBOR +12% from 10 Jul 2026 and rises a further 100bps a year. H1-26 deferred interest of EUR 2.96m implies ~EUR 6m (~$7m) a year of accrual against a ~EUR 12m cash pile.
- **Hybrid tender flopped:** the voluntary offer at 20% of nominal (SEK 20 per SEK 100, no accrued interest) drew acceptances of only SEK 12.5m (~$1.3m) nominal for SEK 2.5m (~$0.26m) cash, settled 16 Sep — a low-single-digit percentage of the instrument by our estimate. Holders are not selling at 20c; the overhang is intact.
- **Buybacks for LTIP, not capital return:** programme of up to 4,713,747 shares / SEK 28m (~$2.9m) announced 10 Sep 2026 (runs to AGM 2027). 570,500 shares bought by 16 Oct at SEK 2.75–3.37; treasury now 3,694,809 shares (4.7% of 78,774,442 issued). The chairman's own letter notes that any shareholder distribution would require settling deferred hybrid interest — a line we expect hybrid holders to test.
- **Market reaction:** shares fell ~21.5% to SEK 2.50 (~$0.26) intraday on 19 Oct, the first session after the Friday-evening release, from a 16 Oct buyback VWAP of SEK 3.17 (~$0.33). The stock had surged >70% on the Q4-25 print in February; that recovery is now fully unwound.
- **Regulatory/market backdrop:** California's sweepstakes ban (effective 1 Jan 2026) took the social-casino sub-segment below its Q4-25 peak; higher state sports-betting taxes and operator consolidation continue to compress sports affiliate spend; prediction markets are accessible nationwide and are the one genuinely new addressable channel.
- **Thesis read-through:** this is the clearest evidence yet that a CPA-heavy, single-channel (Google) affiliate has no earnings floor when search behaviour shifts — the revenue line re-bases within a quarter. The equity case is now binary on TraffiqX delivering non-search, marketplace-style revenue by H1 2027 before cash erodes; the sector read-across is negative for organic-search-dependent affiliates with low revenue-share mix and less so for those with media partnerships and recurring revenue.

## 2 GROUP FINANCIAL SUMMARY

| EUR M (~$M AT ASSUMED 1.17) — Q3-26 FIGURES PRELIMINARY & UNAUDITED | Q3-26 (PRELIM) | QOQ | YOY | 9M-26 | 9M YOY |
|---|---|---|---|---|---|
| **REVENUE BY SEGMENT** | | | | | |
| **Group revenue** | **8.3 (~$9.7)** | **-12%** | **-29%** | **30.1 (~$35.2)** | **-3%** |
| Casino [1] Segment, geographic and NDC data not in the preliminary release; Q2-26 Casino EUR 8.5m (90% of group), Sports EUR 1.0m (10%); Q3-25 Casino EUR 9.9m, Sports EUR 1.8m. | n/a[1] | – | – | n/a[1] (H1: 19.4 / ~$22.7) | H1 +25% |
| Sports | n/a[1] | – | – | n/a[1] (H1: 2.4 / ~$2.9) | H1 -38% |
| **REVENUE BY GEOGRAPHY / TYPE** | | | | | |
| North America | n/a[1] | – | – | n/a[1] (H1: 21.0 / ~$24.6; 96%) | H1 +20% |
| Rest of World | n/a[1] | – | – | n/a[1] (H1: 0.9 / ~$1.0; 4%) | H1 -57% |
| CPA / rev-share / fixed mix | >90% of NDCs on CPA | Q2-26: 88% / 6% / 6% | Q3-25: 91% / 7% / 2% | H1-26: 88% / 7% / 5% | H1-25: 86% / 12% / 2% |
| **EARNINGS** | | | | | |
| **Adj. EBITDA** | **0.7 (~$0.8)** | **-43%** | **-76%** | **4.6 (~$5.4)** | **-12%** |
| Adj. EBITDA margin | ~8% | -460bps | -1,680bps | 15% | -160bps |
| of which 2026 bonus-accrual reversal | +0.7 (~$0.8) | – | – | +0.7 (~$0.8) | – |
| Underlying adj. EBITDA ex-reversal (est.) | ~0.0 | vs 1.2 (~$1.4) | vs 2.9 (~$3.4) | ~3.9 (~$4.6) | ~-25% |
| Impairment of intangibles (non-cash) | (30)–(35) (~$35–41) | Q2-26: nil | Q3-25: (16.5) (~$19.3) | (30)–(35) | 9M-25: (16.5) |
| Net income / (loss) [2] Not disclosed in the preliminary release; estimate = adj. EBITDA less IACs, ~EUR 0.9m D&A and the EUR 30–35m impairment, before any deferred-tax credit. | n/a[2] (est. (29)–(35) / ~$(34)–(41)) | Q2-26: 0.06 (~$0.07) | Q3-25: (14.4) (~$16.8) | n/a[2] (H1: 1.3 / ~$1.5) | 9M-25: (14.4) |
| EPS diluted (EUR) | n/a[2] (est. -0.38 to -0.47 / ~-$0.44 to -0.55) | Q2-26: 0.001 | Q3-25: (0.19) (~-$0.22) | n/a[2] (H1: 0.02 / ~$0.02) | 9M-25: (0.18) |
| **KPIS** | | | | | |
| New depositing customers (NDCs) | n/a[1] | Q2-26: 24,781 (+23% YoY) | Q3-25: 23,999 | n/a[1] (H1: 59,354) | H1 +41% |
| Employees (period-end) | n/a | 30 Jun-26: 164 | 30 Sep-25: 151 | 164 | +1 YoY (163) |
| **CASH FLOW & CAPITAL** | | | | | |
| Operating cash flow (continuing) | n/a | Q2-26: 0.03 (~$0.04) | Q3-25: 2.1 (~$2.5) | n/a (H1: 4.4 / ~$5.1) | H1 +5% |
| Cash & equivalents | n/a (30 Jun: 13.0 / ~$15.2) | 31 Mar-26: 13.7 (~$16.0) | 30 Sep-25: 8.4 (~$9.8) | 13.0 (~$15.2) | +96% vs 30 Jun-25 |
| Interest-bearing debt | nil | nil | nil (bonds repaid Q2-25) | nil | – |
| Hybrid H01: nominal + deferred interest (IFRS equity) | 43.7 + 7.0 (~$51.1 + $8.2) | coupon 3M STIBOR +12% from 10 Jul-26 | 30 Sep-25 deferred: 1.1 | 50.7 (~$59.3) claim | accruing ~6/yr (~$7) |
| **Net interest-bearing debt / adj. EBITDA** | **net cash** | **net cash** | **net cash** | **target 0–1.75x** | **–** |

## 3 SEGMENT DEEP-DIVE — CASINO (NORTH AMERICAN ORGANIC BRANDS, MRKTPLAYS SUB-AFFILIATION, SOCIAL SWEEPSTAKES, CRM/PLAYPERKS)

> **The segment that carries the group — 90% of Q2 revenue — is where the EUR 3.3m YoY hole and the bulk of the EUR 30–35m impairment must sit; Q3 split is withheld until 10 Nov.**

Q3 INFERENCE

**Casino, 90% of Q2 revenue, must have lost EUR 2m-plus YoY in Q3, implying a mid-to-high EUR 7m run-rate; management did not confirm.**

- Preliminary release gives no segment data; group revenue fell EUR 3.3m (~$3.9m) YoY to EUR 8.3m (~$9.7m).
- Sports generated only EUR 1.8m (~$2.1m) in Q3-25, so a total Sports wipe-out could not explain the decline.
- Casino was EUR 9.9m (~$11.5m) in Q3-25 at a 25% adjusted EBITDA margin and EUR 8.5m (~$9.9m) in Q2-26 at 13%.
- Q3 split is withheld until 10 Nov; we flag the Casino decline as an inference.

Q2-26 BASE

**Q2 Casino revenue of EUR 8.5m (~$9.9m) was up 8% YoY but down 22% QoQ, with margin compressing to 13%.**

- Down from EUR 10.9m (~$12.7m) in Q1, attributed to organic search ranking volatility and a structural shift reducing traditional search traffic industry-wide.
- Adjusted EBITDA fell 18% to EUR 1.1m (~$1.3m); 13% margin vs 17% a year earlier and 29% in the Q4-25 peak quarter.
- NDCs rose 35% to 20,342 and 65% in H1 to 48,598, but revenue per NDC fell to roughly EUR 416 (~$487) from EUR 518 (~$606).
- Volume comes from lower-value sub-affiliate and performance channels, not high-margin organic brands.
- Direct costs were 35% of segment revenue (EUR 3.0m, ~$3.5m), consistent with MRKTPLAYS, now over a third of group revenue, carrying media-buying-like payouts.

SUB-VERTICAL DIVERGENCE

**Sub-verticals were diverging before Q3: sweepstakes, MRKTPLAYS and CRM grew while core organic rankings declined and operators cut summer marketing budgets.**

- Social sweepstakes casino grew YoY despite the California ban effective 1 January 2026, but sat below its Q4-25 peak.
- MRKTPLAYS revenue 'increased strongly'; CRM recorded strong double-digit growth from PlayPerks, launched in January on PlayUSA.com, framed as a hedge against Google exposure.
- Alberta's 13 July launch of regulated online casino and sports, the first combined launch since Ontario in 2022, was described as satisfactory in its first month.
- PlayCanada.com was sold to a strategic partner with no meaningful immediate P&L effect.
- Q3 commentary: rankings declined on AI-assisted personalised search and engines elevating lower-relevancy content; operator budget cuts matter equally for a sub-affiliation platform.

IMPAIRMENT

**The EUR 30–35m (~$35–41m) charge likely lands mostly in Casino, implying medium-term cash-flow assumptions cut by roughly a third.**

- Of EUR 90.1m (~$105.5m) intangibles at 30 June, EUR 87.9m (~$102.8m) is domains and websites.
- Sports CGU already absorbed EUR 32.6m (~$38.1m) in 2024 and EUR 10.5m (~$12.3m) in 2025, leaving small residual value.
- Only Casino charge to date was EUR 6.0m (~$7.0m) on Asia-Pacific assets in Q3-25.
- A markedly different view from the 'no impairment indicators' language of 11 August.
- We want the 10 Nov report to disclose discount rate and terminal-growth changes, and the split between CGUs.

OUR READ

**Casino holds two businesses with opposite problems; we assume the Q3 Casino margin was low single digits.**

- An organic-search estate being disintermediated by generative search.
- A sub-affiliation/performance marketplace with real growth but structurally lower margin (direct costs mid-30s % of revenue) and demand hostage to operator CPA budgets.
- The 2026 plan assumed the second would outgrow the first's decline; Q3 says it did not.
- With >90% of NDCs on CPA there is no revenue-share tail to smooth the transition.
- Assumption holds until segment NDCs, revenue per NDC and the keyword-ranking index are published.

| CASINO, EUR M (~$M) | Q3-26 (PRELIM) | Q2-26 | Q1-26 | Q4-25 | Q3-25 | H1-26 | H1 YOY |
|---|---|---|---|---|---|---|---|
| **Revenue** | **n/a (implied mid/high-7s)** | **8.47 (~$9.91)** | **10.89 (~$12.74)** | **13.87 (~$16.23)** | **9.87 (~$11.54)** | **19.36 (~$22.65)** | **+25%** |
| YoY / QoQ growth | n/a | +8% / -22% | n/a / -21% | n/a | +20% / +26% | +25% | – |
| Share of group revenue | n/a | 90% | 88% | 89% | 85% | 89% | +9pp |
| of which North America | n/a | 8.28 (~$9.69) | 10.43 (~$12.21) | 13.59 (~$15.89) | 9.49 (~$11.10) | 18.71 (~$21.89) | +31% |
| of which Rest of World | n/a | 0.19 (~$0.22) | 0.46 (~$0.54) | 0.28 (~$0.33) | 0.38 (~$0.44) | 0.65 (~$0.76) | -47% |
| **Adj. EBITDA** | **n/a** | **1.12 (~$1.32)** | **2.24 (~$2.63)** | **4.06 (~$4.75)** | **2.50 (~$2.92)** | **3.37 (~$3.94)** | **+41%** |
| Adj. EBITDA margin | n/a | 13% | 21% | 29% | 25% | 17% | +2pp |
| Direct costs (% of segment revenue) | n/a | 2.97 (~$3.47) / 35% | 3.56 (~$4.16) / 33% | n/a | 3.44 (~$4.02) / 35% | 6.52 (~$7.63) / 34% | +68% |
| Personnel expenses | n/a | 3.15 (~$3.68) | 3.76 (~$4.40) | n/a | 3.01 (~$3.52) | 6.90 (~$8.08) | -0% |
| NDCs | n/a | 20,342 (+35%) | 28,256 | 34,889 | 18,615 (+1%) | 48,598 | +65% |
| Revenue per NDC (EUR, derived) | n/a | ~416 (~$487) | ~385 (~$451) | ~398 (~$465) | ~530 (~$620) | ~398 (~$466) | -24% |
| Impairment charged to segment | n/a (group 30–35) | nil | nil | nil | 6.0 APAC (~$7.0) | nil | – |

## 4 SEGMENT DEEP-DIVE — SPORTS (NORTH AMERICAN SPORTSBOOK AFFILIATION, PREDICTION MARKETS / PLAYPICKS)

**A shrinking 10% of group that was already down 43% in Q2; the NFL start and prediction markets were the Q3 hope, and the preliminary release offers no sign either moved the needle.**

Q2 RUN-RATE

**Sports entered Q3 at a EUR 1.0m (~$1.2m) quarterly run-rate, down 43% YoY and 32% QoQ, equal to 10% of group revenue.**

- Decline was 35% YoY excluding the esports business sold in 2025.
- Adjusted EBITDA EUR 0.1m (~$0.12m), an 11% margin, up from EUR 0.02m only because costs were cut harder than revenue fell.
- Personnel EUR 0.46m (~$0.54m) vs EUR 0.90m; other opex EUR 0.36m vs EUR 0.70m.
- NDCs fell 13% to 4,439 and 16% in H1 to 10,756.
- Management took a 'calculated decision' not to optimise for the soccer World Cup, focusing instead on NFL-season features and prediction markets.

> *"in line with expectations"* — **Management**

Q3-25 COMPARATOR

**The Q3-25 base of EUR 1.8m (~$2.1m) was already down 28% YoY, and the segment's book value is largely written down.**

- Q3-25 adjusted EBITDA margin 25% (EUR 0.44m, ~$0.52m) with 5,384 NDCs.
- Commentary cited higher state sports-betting taxes, operator consolidation dampening affiliate spend, and 'unsatisfactory' owned-and-operated sports brands.
- Booked EUR 10.5m (~$12.3m) impairment on US sports brands acquired before 2018, on top of EUR 32.6m (~$38.1m) in 2024.
- This is why we attribute most of the new EUR 30–35m charge to Casino rather than Sports.

Q3 OUTLOOK

**NFL kick-off and prediction markets were the Q3 hope; the release mentions neither, so we assume revenue flat-to-down at around EUR 1m.**

- Q3 normally brings a seasonal lift from the NFL kick-off in the final weeks of September.
- Prediction markets, accessible nationwide with PlayPicks in beta, were positioned as the structural answer to a consolidating sportsbook affiliate market.
- We assume the segment at or below break-even once the reversal of bonus accruals is excluded.
- Prediction-market CPA deals are too new to have scaled in a quarter.

OUR VIEW

**Sports is too small to change the group outcome but a key test of non-Google-mediated affiliation.**

- Prediction-market operators are spending on acquisition and regulation is federal, suiting a nationwide content estate.
- Unknowns are CPA levels, player value and whether operators will tolerate affiliate marketing at scale.
- Any Q4 disclosure of prediction-market NDCs or revenue would be the most useful data point in the 10 Nov report; its absence would be telling.

| SPORTS, EUR M (~$M) | Q3-26 (PRELIM) | Q2-26 | Q1-26 | Q4-25 | Q3-25 | H1-26 | H1 YOY |
|---|---|---|---|---|---|---|---|
| **Revenue** | **n/a (assumed ~1.0)** | **0.99 (~$1.16)** | **1.46 (~$1.70)** | **1.69 (~$1.97)** | **1.78 (~$2.09)** | **2.44 (~$2.86)** | **-38%** |
| YoY / QoQ growth | n/a | -43% / -32% | n/a / -14% | n/a | -28% / +2% | -38% (-35% ex esports sale, Q2) | – |
| Share of group revenue | n/a | 10% | 12% | 11% | 15% | 11% | -9pp |
| of which North America | n/a | 0.93 (~$1.08) | 1.31 (~$1.54) | 1.59 (~$1.86) | 1.70 (~$1.99) | 2.24 (~$2.62) | -29% |
| of which Rest of World | n/a | 0.06 (~$0.07) | 0.14 (~$0.16) | 0.09 (~$0.11) | 0.08 (~$0.10) | 0.20 (~$0.24) | -73% |
| **Adj. EBITDA** | **n/a** | **0.10 (~$0.12)** | **0.44 (~$0.51)** | **0.63 (~$0.74)** | **0.44 (~$0.52)** | **0.55 (~$0.64)** | **vs (0.08)** |
| Adj. EBITDA margin | n/a | 11% | 30% | 38% | 25% | 22% | +24pp |
| Direct costs | n/a | 0.07 (~$0.08) | 0.05 (~$0.06) | n/a | 0.21 (~$0.24) | 0.12 (~$0.14) | -58% |
| Personnel expenses | n/a | 0.46 (~$0.54) | 0.61 (~$0.72) | n/a | 0.64 (~$0.75) | 1.07 (~$1.26) | -54% |
| Other operating expenses | n/a | 0.36 (~$0.42) | 0.35 (~$0.41) | n/a | 0.50 (~$0.58) | 0.71 (~$0.83) | -50% |
| NDCs | n/a | 4,439 (-13%) | 6,317 | 5,475 | 5,384 (-40%) | 10,756 | -16% |
| Impairment charged to segment | n/a (group 30–35) | nil | nil | nil | 10.5 US sports (~$12.3) | nil | – |

## 5 SEGMENT DEEP-DIVE — GEOGRAPHY, REVENUE MIX & COST BASE (NORTH AMERICA / REST OF WORLD; CPA VS REVENUE SHARE)

**97% North America, ~90% CPA, no interest-bearing debt and a cost base that has not yet been cut to the new revenue line — the structural facts behind the Q3 collapse.**

### GEOGRAPHY

**North America was 97% of Q2-26 revenue, so the Q3-26 decline is a North American story with no international offset.**

- North America EUR 9.2m (~$10.8m) in Q2-26, up 6% YoY (4% constant-currency at group level); 96% of H1 at EUR 21.0m (~$24.6m), up 20%.
- Rest of World run down to EUR 0.26m (~$0.3m) in Q2, -73% YoY, and EUR 0.85m (~$1.0m) in H1, -57%, after the Asia-Pacific impairment and non-core exits.
- Q3-25 base was EUR 11.2m (~$13.1m) North America (96%) and EUR 0.46m (~$0.5m) Rest of World.
- Management has de-emphasised the geographic breakdown.

> *"no longer provides meaningful additional insight"* — **Management**

### REVENUE MIX

**CPA at 88% of Q2-26 revenue means the search shift hits results with no lag or cohort tail.**

- Q2-26 split: CPA 88% (86% in Q2-25), revenue share 6% (12%), fixed fees 6% (2%); Q3-25 was 91%/7%/2% with 99% of NDCs on CPA.
- The revenue-share book, a meaningful annuity at the 2021–22 peak, has halved as a share of revenue in a year.
- No pricing power with operators that have been consolidating and cutting affiliate budgets.
- Rising fixed-fee revenue (media partnerships, PlayPerks-style products) is the only recurring element and too small to matter yet.

> *"immediately and in full"* — **Management**

### SEARCH RANKINGS

**Both click-through-per-position and ranking position now move against the estate, a scenario the 2025 impairment test evidently did not contemplate.**

- Group publishes an average keyword-ranking score for 100 priority keywords; Q2 was 'somewhat softer' than Q2-25 with recovery after quarter-end.
- Management warned a given ranking position now generates fewer clicks and less revenue than a year ago.
- Q3 adds the second blade: rankings themselves declined.

### COST BASE

**Underlying Q3-26 costs of ~EUR 8.3m (~$9.7m) were essentially unchanged while revenue fell 29%; no cuts were announced.**

- Q2 cost base EUR 8.2m (~$9.6m): direct EUR 3.0m (~$3.5m), personnel EUR 3.6m (~$4.2m), other EUR 1.6m (~$1.9m); flat YoY, down from EUR 9.7m in Q1, 11% lower ex direct costs.
- Q3-25 comparator EUR 8.7m (~$10.2m): direct EUR 3.6m, adjusted personnel EUR 3.6m, adjusted other EUR 1.4m.
- Implied Q3-26 adjusted operating costs ~EUR 7.6m (~$8.9m) including the EUR 0.7m accrual reversal.
- Headcount 164 on 30 June, up from 151, staffed for the TraffiqX build; personnel and other opex are where Q4 action would have to come.

CAPITAL STRUCTURE

**Net cash of EUR 13.0m (~$15.2m) is thin against a hybrid claim of EUR 43.7m nominal plus EUR 7.0m deferred interest that keeps growing.**

- No borrowings; Q2 operating cash flow EUR 0.03m (~$0.04m) after EUR 1.5m tax paid, with rising capitalised development.
- Since then paid SEK 2.5m (~$0.26m) to retire SEK 12.5m (~$1.3m) nominal of hybrids and ~SEK 1.7m (~$0.2m) on LTIP buybacks.
- Hybrid: EUR 43.7m (~$51.1m) nominal plus EUR 7.0m (~$8.2m) deferred interest at 10 July, accruing at 3M STIBOR +12% (≈EUR 6m/~$7m a year), margin ratcheting +100bps annually.
- Board treats it as non-voting preferred equity with discretionary coupons and no intention to resume payments.
- Tender at 20c attracted negligible acceptances, so the economic claim ahead of shareholders is growing, not shrinking.

| GEOGRAPHY, MIX & COSTS, EUR M (~$M) | Q3-26 (PRELIM) | Q2-26 | Q1-26 | Q4-25 | Q3-25 | H1-26 | H1 YOY |
|---|---|---|---|---|---|---|---|
| **Group revenue** | **8.30 (~$9.71)** | **9.46 (~$11.07)** | **12.35 (~$14.44)** | **15.55 (~$18.20)** | **11.65 (~$13.63)** | **21.81 (~$25.51)** | **+12%** |
| North America | n/a | 9.21 (~$10.77) / 97% | 11.75 (~$13.74) / 95% | 15.18 (~$17.76) / 98% | 11.19 (~$13.09) / 96% | 20.95 (~$24.51) / 96% | +20% |
| Rest of World | n/a | 0.26 (~$0.30) / 3% | 0.60 (~$0.70) / 5% | 0.38 (~$0.44) / 2% | 0.46 (~$0.54) / 4% | 0.85 (~$1.00) / 4% | -57% |
| Constant-currency growth (group) | n/a | +4% YoY | n/a | n/a | +15% YoY | n/a | – |
| Revenue mix: CPA / rev-share / fixed | >90% NDCs on CPA | 88% / 6% / 6% | n/a | n/a | 91% / 7% / 2% | 88% / 7% / 5% | H1-25: 86/12/2 |
| **Group adj. EBITDA** | **0.70 (~$0.82)** | **1.23 (~$1.44)** | **2.68 (~$3.14)** | **4.69 (~$5.49)** | **2.94 (~$3.44)** | **3.91 (~$4.58)** | **+70%** |
| Adj. EBITDA margin | ~8% | 13% | 22% | 30% | 25% | 18% | +6pp |
| Total cost base (ex IACs) | ~7.6 (~$8.9) implied; ~8.3 underlying | 8.2 (~$9.6) | 9.7 (~$11.3) | 10.9 (~$12.8) | 8.7 (~$10.2) | 17.9 (~$20.9) | +5% |
| Direct costs (% of revenue) | n/a | 3.0 (~$3.5) / 32% | 3.6 (~$4.2) / 29% | 4.6 (~$5.4) / 30% | 3.6 (~$4.3) / 31% | 6.6 (~$7.8) / 30% | +60% |
| Adj. personnel expenses | n/a (EUR 0.7m bonus accrual reversed) | 3.6 (~$4.2) | 4.4 (~$5.1) | 3.1 (~$3.6) | 3.6 (~$4.3) | 8.0 (~$9.3) | -14% |
| Adj. other operating expenses | n/a | 1.6 (~$1.9) | 1.7 (~$2.0) | 1.8 (~$2.1) | 1.4 (~$1.7) | 3.3 (~$3.8) | -13% |
| Employees (period-end) | n/a | 164 | n/a | 151 | 151 | 164 | +1 |
| Cash & equivalents (period-end) | n/a (est. 11.5–13) | 13.0 (~$15.2) | 13.7 (~$16.0) | 9.3 (~$10.9) | 8.4 (~$9.8) | 13.0 (~$15.2) | +96% |
| Hybrid nominal + deferred interest | 43.7 + 7.0 (~$51.1 + $8.2) | 43.7 + 5.4 | n/a | 43.7 + 2.5 | 43.7 + 1.1 | 43.7 + 5.4 | – |

## 6 HIGHLIGHTS & LOWLIGHTS

### ▲ HIGHLIGHTS

- Net-cash balance sheet: EUR 13.0m (~$15.2m) cash at 30 June, no bonds or bank debt (EUR 21.5m/~$25.1m of bonds repaid in 2025), equity-to-assets 0.97 — the group can absorb a EUR 30–35m non-cash impairment without covenant or refinancing consequences. structural
- MRKTPLAYS sub-affiliation now contributes more than a third of group revenue and is the proven template for TraffiqX; H1-26 NDCs +41% to 59,354 show the marketplace channel can generate volume even as organic traffic declines. structural
- TraffiqX launch timing pulled forward to Q1 2027 from 'first half of 2027' in the Q2 report, and the board is funding it from internal cash rather than new equity — execution risk is high but the capital plan is at least self-contained. early
- 9M-26 revenue of EUR 30.1m (~$35.2m) is only 3% below last year and 9M adj. EBITDA of EUR 4.6m (~$5.4m) is still positive, thanks to a strong Q1 (EUR 12.3m / ~$14.4m, 22% margin) — the year is not a write-off on a YTD basis. mixed
- Cost discipline on the controllable lines: adjusted personnel -9% YoY in Q2 and -14% in H1, other opex -14%/-13%; the Q2-25 restructuring (headcount -25%) created a flatter structure that gives management levers if it chooses to pull them. structural
- Hybrid tender retired SEK 12.5m (~$1.3m) nominal for SEK 2.5m (~$0.26m) — a token amount, but it establishes a 20c-of-nominal reference price for an instrument with no fixed obligation, and the board has clarified publicly that coupons are discretionary. one-off

### ▼ LOWLIGHTS

- Revenue -29% YoY to EUR 8.3m (~$9.7m) and underlying adjusted EBITDA ~zero once the EUR 0.7m (~$0.8m) bonus-accrual reversal is stripped out; margin -1,680bps YoY. With >90% of NDCs on CPA and revenue share down to 6% of revenue, there is no annuity to cushion the search shift. structural
- 2026 double-digit organic growth target withdrawn with no replacement; the required Q4 (~EUR 21.2m / ~$24.8m revenue, +36% YoY) was never credible after Q2, which raises the question of why the target survived the 11 August report. governance
- EUR 30–35m (~$35–41m) impairment — 33–39% of intangibles — announced 66 days after the Q2 report stated 'no impairment indicators arose during Q2 2026'. Third successive Q3 impairment (EUR 40.0m in 2024, EUR 16.5m in 2025; cumulative ~EUR 87–92m / ~$102–108m). governance
- Hybrid overhang is growing, not shrinking: EUR 43.7m (~$51.1m) nominal plus EUR 7.0m (~$8.2m) deferred interest, accruing ~EUR 6m (~$7m) a year at 3M STIBOR +12% (margin +100bps annually), ranking ahead of equity; the 20c tender drew negligible acceptances. structural
- Cost base not yet re-sized: implied underlying Q3 opex ~EUR 8.3m (~$9.7m), flat on a revenue line down EUR 3.3m; headcount 164 at 30 June vs 151 a year earlier; Q2 operating cash flow EUR 0.03m (~$0.04m) while capex 'more than doubled' for the platform build. watch
- Disclosure quality: the preliminary release omits segment revenue, NDCs, cash, net result and any Q4 trading comment; the only quantified items are the two headline lines and the impairment range. Investors trade blind for 25 days. governance
- Sports has shrunk to ~10% of group (Q2 -43% YoY) after a deliberate decision not to monetise the World Cup; the NFL/prediction-market thesis is unproven and the segment's book value has already been impaired twice. mixed

## 7 FORECAST & OUTLOOK

**Guidance bridge.** Old guidance (financial target #1, reaffirmed in the 11 Aug Q2 report): double-digit organic growth in both group revenue and adjusted EBITDA for 2026, i.e. at least ~EUR 51.3m (~$60.0m) revenue and ~EUR 10.9m (~$12.8m) adj. EBITDA on the FY25 base of EUR 46.6m (~$54.5m) / EUR 9.9m (~$11.6m). New: target withdrawn on 16 Oct with no numerical replacement; target #2 (net interest-bearing debt/adj. EBITDA 0–1.75x) stands but is moot with no debt. The driver is the Casino segment's North American organic-search brands — the EUR 3.3m YoY revenue decline exceeds the entire Sports segment — compounded by operator CPA budget cuts that also flow through MRKTPLAYS. Moving parts: the EUR 0.7m bonus-accrual reversal (one-off, flatters Q3 adj. EBITDA), the EUR 30–35m non-cash impairment (hits reported EBIT/net income only), unchanged underlying opex of ~EUR 8.3m, and a cash balance last disclosed at EUR 13.0m on 30 June.

| OLD FY26 TARGET (IMPLIED FLOOR) | NEW COMPANY GUIDANCE | OUR FY26E REVENUE (ESTIMATE) | OUR FY26E ADJ. EBITDA (ESTIMATE) |
|---|---|---|---|
| **Rev ≥ EUR 51.3m (~$60.0m); adj. EBITDA ≥ EUR 10.9m (~$12.8m)**<br>+10% on FY25 | **Withdrawn — no replacement**<br>Q4 required +36% YoY revenue; abandoned | **EUR 38.6–40.6m (~$45.2–47.5m)**<br>-13% to -17% YoY; Q4E EUR 8.5–10.5m | **EUR 4.6–6.1m (~$5.4–7.1m), 12–15% margin**<br>-39% to -54% YoY; Q4E EUR 0–1.5m |

**Independent view. Q4-26E:** Q4 is seasonally the strongest quarter (NFL, year-end casino), but the Q4-25 comparator of EUR 15.6m (~$18.2m) included the pre-California-ban sweepstakes peak and a benign Google environment. With rankings still falling and operator budgets soft, we model Q4 revenue of **EUR 8.5–10.5m (~$9.9–12.3m)**, i.e. -33% to -45% YoY, and adj. EBITDA of **EUR 0–1.5m (~$0–1.8m)** on an underlying cost base of ~EUR 8.0–8.3m with no further bonus reversal available. **FY26E:** revenue **EUR 38.6–40.6m (~$45.2–47.5m)**, adj. EBITDA **EUR 4.6–6.1m (~$5.4–7.1m)**, margin **12–15%** vs 21% in 2025; reported net loss of roughly **EUR 28–34m (~$33–40m)** after the impairment [all our estimates]. **Cash & leverage:** year-end cash of ~EUR 10–12m (~$12–14m) assuming ~EUR 1m/quarter of capitalised development, LTIP buybacks of ~SEK 1–2m/month and no working-capital shock; no interest-bearing debt, so the direction of 'leverage' is really the hybrid claim rising from EUR 50.7m (~$59.3m) toward ~EUR 53m (~$62m) by mid-2027 against a shrinking cash pile — the coverage ratio deteriorates even with zero debt. **2027:** the base case is a lower-margin, marketplace-weighted business (direct costs in the mid-30s % of revenue) whose revenue trajectory depends on TraffiqX adoption from Q1 2027; we would expect a cost action on personnel before then given 164 heads on an ~EUR 35m revenue base. **Swing factors:** (i) the size and allocation of the impairment and any deferred-tax credit; (ii) whether Q3 NDCs held up (volume) versus revenue per NDC collapsing (price/mix) — the former would imply monetisation can be repaired, the latter that the estate is being disintermediated; (iii) prediction-market CPA deals scaling in Q4; (iv) any resumption of operator budgets into the NFL playoffs; (v) a formal cost programme. We see downside skew to our Q4 range if the keyword-ranking index has not recovered by the 10 Nov print.

**What to watch next quarter:**

- 10 Nov Q3 interim report: Casino/Sports revenue and NDCs, revenue per NDC, North America share, CPA/rev-share/fixed mix, cash and operating cash flow, impairment split by CGU and the discount-rate/growth assumptions used, and whether the auditor's review language changes.
- Average keyword-ranking index for Q3 and the post-quarter trend — the Q2 report flagged a recovery after 30 June; Q3 commentary says rankings declined. Direction into Q4 is the single best leading indicator for Casino.
- Any disclosed prediction-market (PlayPicks) NDCs or revenue, and NFL-season Sports performance; absence of a number will be informative.
- Cost actions: headcount (164 at 30 June), personnel run-rate, capitalised development spend for TraffiqX, and whether the company reinstates any form of 2026/2027 guidance.
- Hybrid H01: deferred interest balance (EUR 7.0m at 10 July), any further tender or exchange proposal, and holder reaction to LTIP buybacks given the chairman's statement that shareholder distributions would trigger settlement of deferred coupons.
- TraffiqX milestones: completion of final testing in late 2026, Q1 2027 launch, early publisher/advertiser counts and take-rate — the equity is now priced as an option on this.
- Regulatory: further state-level sweepstakes restrictions after California, state sports-betting tax increases, Alberta ramp, and any US federal/state action on prediction markets.
- Buyback execution pace (570,500 of up to 4,713,747 shares / SEK 28m bought by 16 Oct) and treasury holdings (3,694,809 shares, 4.7%).

**DATA CONFIDENCE: MEDIUM** Headline Q3-26 figures (revenue EUR 8.3m, adj. EBITDA EUR 0.7m incl. EUR 0.7m accrual reversal, 9M EUR 30.1m / EUR 4.6m, impairment EUR 30–35m, target withdrawal) are taken from the company's 16 Oct 2026 release and cross-checked against Gaming Intelligence, NEXT.io, iGamingFuture, SBC and TradingView/MFN — all consistent. They are PRELIMINARY AND UNAUDITED; the full interim report is due 10 Nov 2026. All Q3-26 segment, geographic, NDC, cash, net income and EPS figures are n/a or explicitly labelled estimates/inferences; comparatives (Q2-26, Q1-26, Q4-25, Q3-25, H1) are from the audited-format Q2-26 and Q3-25 interim reports, with Q1-26 and Q4-25 derived by subtraction. FX: the web-research quota was exhausted before the 16 Oct 2026 EUR/USD rate could be looked up; USD figures use an ASSUMED EUR/USD of 1.17 [unverified] and SEK figures an EUR/SEK of ~11.3 derived from GBP crosses quoted by SBC News [unverified]; all ~$ figures scale linearly and should be re-based to the actual 16 Oct 2026 fix. The 9M adj. EBITDA decline is -12% on precise figures (EUR 4.6m vs 5.245m) vs the -11.5% quoted by Gaming Intelligence on rounded numbers. Hybrid tender take-up as a % of nominal is our estimate; the SEK nominal outstanding was not verified.

**Sources:** [Primary] Catena Media plc — 'Catena Media announces preliminary Q3 results and financial target update', press release 16 Oct 2026 (primary, MAR release); [Primary] Catena Media plc — Interim report January–June 2026 (Q2-26), published 11 Aug 2026 (primary; segment, geographic, balance sheet, cash flow, hybrid note, financial targets); [Primary] Catena Media plc — Interim report January–September 2025 (Q3-25), published 4 Nov 2025 (primary; Q3-25 and 9M-25 comparatives, 2025 impairment); [Primary] Catena Media — Hybrid capital securities (CATME H01) investor page incl. tender-offer result of 9 Sep 2026 (primary); [Primary] Catena Media plc — result of voluntary tender offer for hybrid capital securities, 9 Sep 2026 (MFN release via TradingView) (primary release); [Primary] Catena Media — share buybacks executed 12–16 Oct 2026 (release via Inderes) (primary release); [Primary] Catena Media — share buybacks executed 5–9 Oct 2026 (release via MarketScreener) (primary release); [Primary] Catena Media — share buybacks executed 21–25 Sep 2026 (programme terms) (primary release); [Primary] Catena Media — financial reports and presentations index (primary); [Secondary] Investing.com — Catena Media Q2 2026 earnings call transcript, 11 Aug 2026 (secondary; constant-currency growth, PlayCanada divestment, Alberta, prediction markets); [Secondary] Seeking Alpha — Catena Media plc (CTTMF) Q2 2026 earnings call transcript (secondary); [Secondary] Investing.com — Catena Media Q2 2026 slides summary (secondary; capex, PlayPicks, MRKTPLAYS share); [Secondary] Gaming Intelligence — 'Catena Media expects third quarter revenue to decline 29%', 19 Oct 2026 (secondary; share price reaction); [Secondary] NEXT.io — 'Catena Media slashes targets on weak Q3 2026 performance', 16 Oct 2026 (secondary); [Secondary] iGamingFuture — 'Catena Media Q3 revenue falls 29% amid search shift', 19 Oct 2026 (secondary); [Secondary] SBC News — 'Catena shares tumble as firm goes back on 2026 expectations', 19 Oct 2026 (secondary; share price, GBP crosses); [Secondary] TradingView — 'Catena Media plc (CTM) Q3 Rev €8.3M, Targets Cut; Impairment €30–35M' (secondary, based on MFN release).

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